



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/12

May/June 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done!

This document has **12** pages. Any blank pages are indicated.

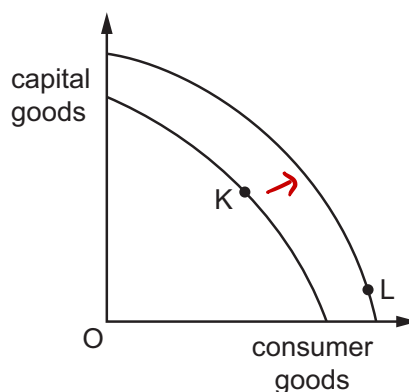
- 2 → unlimited in supply
- 1 What is an example of a free good? → no opportunity cost
- A defence (public good) → no scarcity
 - B education
 - C health services
 - ✓ D sunshine
- (merit goods — These are private goods)

- 2 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

- A an opportunity cost equal to \$95 (no) what she bought vs what she could have bought
 - ✓ B an opportunity cost equal to other goods she could have bought for \$5
 - C no opportunity cost, as entrance to the party is free
 - D no opportunity cost, as she had no better way of using the time
- There is existence of opportunity cost.

- 3 The diagram shows two production possibility curves for a country.



What might cause a shift from point K to point L in the country's production?

- A a change in what consumers want to buy → PPC shows 'production'
- B a recession (Point inside the PPC)
- ✓ C more investment, this increases ability/potential
- D the use of previously unemployed resources (Point inside the PPC)

→ Economics / Diseconomies of scale

- 4 Which relationship would be studied by an economist specialising in macroeconomics?

- ✓ A the relationship between the inflation rate and the unemployment rate Macro
- B the relationship between the output of a firm and its costs of production Micro
- C the relationship between the price of a product and the quantity demanded by a consumer Micro
- D the relationship between the wage rate of workers and demand for labour in an occupation Micro

Law of demand

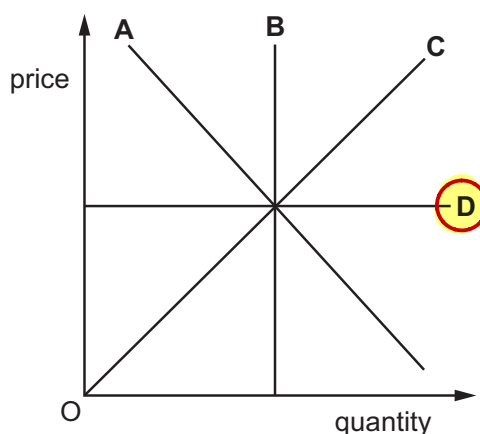
↓ Demand for labour.

Price mechanism

- 5 In recent years, a government has started to make more use of the free market system. However, they are doing it very slowly to avoid the disadvantages that a free market system might bring.

What is a possible disadvantage of the free market system?

- A decreased incentive to work → There is more incentive in market economy
- B decreased levels of pollution → That's an advantage
- C increased efficiency → That's an advantage
- ✓ D increased inequality of income, a disadvantage, market system allocates according to the ability.
- 6 What will cause the demand curve for a good to shift to the right? Demand ↑
- A a decrease in the disposable income of consumers Disposable income ↓, Demand ↓
- ✓ B a decrease in the price of a complement good $P_{car} ↓$, Demand ↑ (petrol)
- C a decrease in the price of a substitute good $P_{coke} ↓$, Demand ↓ (pepsi)
- D a decrease in the price of the good Movement, not shift
- 7 In the diagram, which demand curve has perfectly elastic demand? → perfect competition
→ same price



- A:- Downward sloping demand curve
- B:- Perfectly inelastic demand
- C:- Unitary supply (starts from origin)

- 8 The table shows the demand and supply schedules for rice. The current price is \$2.00 per kilo.

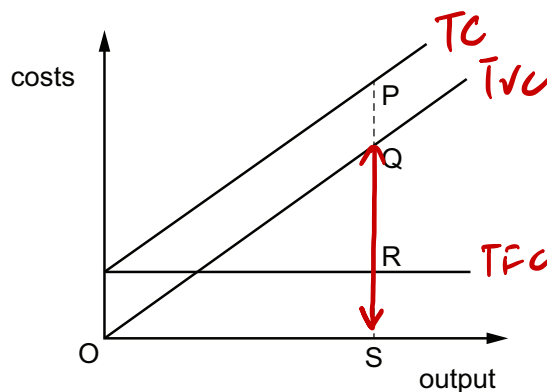
price per kilo \$	quantity demanded (million tonnes)	quantity supplied (million tonnes)
2.50	5	30
2.00	10	25
1.50	20	20
1.00	30	15
0.50	40	10

→ $Q_s > Q_d$ (surplus)
→ $Q_d > Q_s$ (shortage)

What will happen if the price is reduced to \$1.00 per kilo?

- A The demand schedule will shift to the left. *change in price causes movement*
 B The market will move from shortage to surplus. *other way round*
☒ C The market will move from surplus to shortage.
 D The supply schedule will shift to the right. *change in price causes movement*

- 9 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

- A PQ *↳ FC* B PS *↳ TC* C QR *↳ Nothing* ☒ D QS *↳ TVC*

- 10 What could cause profits to be high in a monopoly market?

- less Competition*
☒ A barriers to entry → *It can easily restrict supply, charge high price*
 B diseconomies of scale → *ATC ↑, profits ↓*
 C elastic demand for the product → *Elastic demand, more substitutes*
 D high number of substitutes for the product *same as option 'C'.*

11 Which firm is **most** likely to be classified as a small firm in the tertiary sector?

A a farm (Primary)

☒ B a hairdresser Tertiary - small

C a steelworks (manufacturing)

D a supermarket Tertiary - large

capital is relatively cheaper

12 Germany is considered a capital-intensive economy while Indonesia is considered a labour-intensive economy.

What does this mean about the economies of Germany and Indonesia?

☒ A Capital is relatively cheaper than labour in Germany while labour is relatively cheaper than capital in Indonesia.

B Germany has many primary sector workers while Indonesia has many tertiary sector workers.

C Indonesia has a higher growth in its population size than Germany.

D Relatively more low-cost labour is available in Germany while capital is more efficient than labour in Indonesia.

13 A bank continues to operate loss-making branches.

Which objective is the bank trying to achieve?

A growth

B efficiency

C profit maximisation

☒ D social welfare

With this objective it can't continue to operate loss making branches

Because profit is not the aim.

14 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

What is the likely order of income, from lowest income to highest income, for these three people?

A Y → X → Z

B Y → Z → X

☒ C Z → X → Y

D Z → Y → X

Highest on food, clothing and housing (Z)

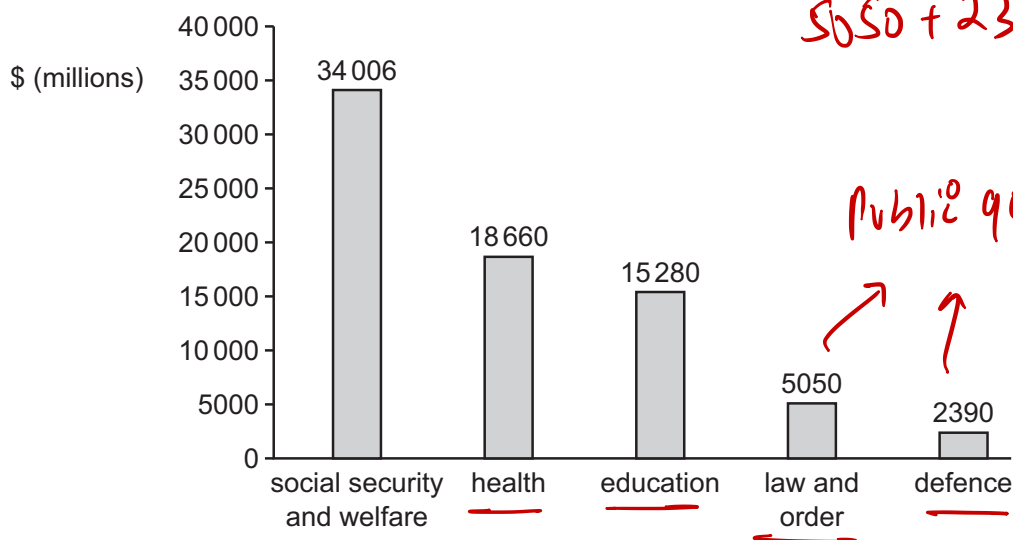
Highest on luxury (Y)

15 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
☒ A	central bank	regulate the rate of inflation
☐ B	central bank	set direct tax rates
☐ C	commercial bank	manage the government's financial accounts
☐ D	commercial bank	safeguard the country's foreign reserves

(monetary policy)
 No, government, fiscal policy
 No, central bank does.

16 The chart shows a government's spending in a year.



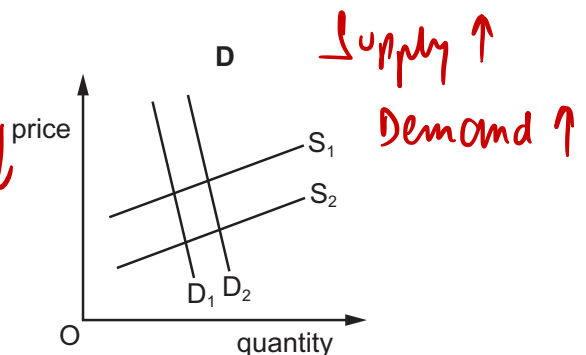
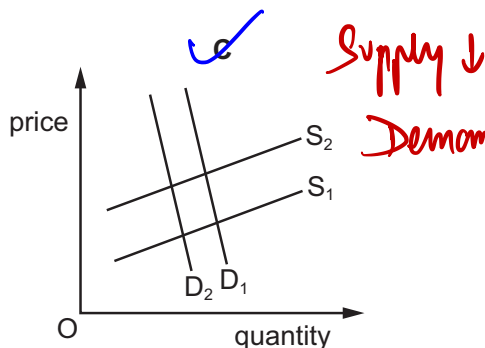
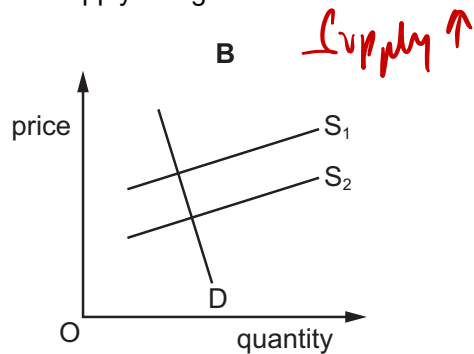
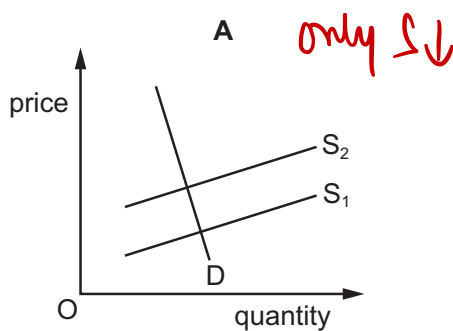
What was the total government spending on public goods?

- ☐ A \$2390 million
- ☐ B \$5050 million
- ☒ C \$7440 million
- ☐ D \$33940 million

Indirect tax ⁷ (Supply ↓)

- 17 A government levies a specific tax on the supply of cigarettes. At the same time it starts a campaign to explain the health risks of smoking cigarettes. Demand ↓

Which diagram illustrates the effects on the demand and supply of cigarettes?



Money supply ↑, interest rate ↓, exchange rate ↓
(AD ↑)

- 18 A government wishes to pursue an expansory monetary policy. (AD ↑)

What should it do?

- A discourage bank lending → less C ↓, I ↓, AD ↓
- B give subsidies to firms Supply side
- C lower income tax thresholds fiscal policy
- D lower interest rates

↳ C ↑, I ↑ :- AD ↑

- 19 A government introduces a series of economic measures.

What is a supply-side policy measure? AS ↑

- A building more affordable homes to improve labour mobility
- B controlling consumer spending to reduce inflation
- C lowering interest rates to encourage purchase of expensive goods
- D raising pensions to help retired people pay their fuel bills

↳ Tax will be raised to fund pension
↳ contractionary fiscal

geographical and occupational mobility
Supply ↑

contractionary fiscal / monetary
expansionary monetary

APC shifts
Productive potential⁸ ↑

20 What is identified as economic growth?

- A a fall in labour productivity *Potential ↓*
- ☒ B an increase in the productive capacity of the economy *Potential ↑ (real GDP ↑)*
- C an increase in the Consumer Prices Index (CPI) *This means rate of inflation ↑*
- D the economy enters a period of recession *Negative growth*
↳ unemployment ↑

21 The retail trade in a country has unemployed workers in one region and job vacancies in another region.

What could explain this?

- A Costs of employing workers are lower when there is unemployment. *Then workers would have been employed*
- ☒ B It is more expensive to live in the area where the retail jobs are available. *Geographical immobility*
- C Retailing demands the same skills everywhere.
- D The geographical mobility of labour has increased. *Then unemployed workers would have moved to area with job vacancies*

22 A country wishes to reduce the level of inflation.

Which combination of policy measures will be **most** successful?

ER ↓, Depreciation, X prices ↓, M prices ↑, Trade surplus, AD ↑, P ↑

	policy measure 1	policy measure 2
A	decrease exchange rates	increase interest rates
B	decrease interest rates	increase exchange rates
C	increase government spending	decrease interest rates
☒ D	increase interest rates	decrease government spending

⇒ Inflation controlled.

23 A government wants to reduce both its budget deficit and the amount of poverty in its country.

Which fiscal policy measure is **most** likely to achieve both of these aims?

- A decreasing the rate of progressive income tax *reduces tax revenue, Budget deficit ↑*
- B decreasing government spending on welfare benefits *G ↓, budget deficit ↓ but welfare benefits ↓ so poverty ↑.*
- ☒ C increasing the rate of progressive income tax
- D increasing government spending on welfare benefits

Progressive income tax ↑
Impact on rich
Tax revenue ↑ → spent on poor
Budget deficit ↓

⇒ G ↑, budget deficit ↑

Longevity Life expectancy and schooling (Education enrollment)

24 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?

- A average earnings and inequalities of incomes
- B balance of trade and balance of payments
- ☒ C life expectancy at birth and expected years of schooling
- D size of population and age structure of population

25 What is likely to cause an immediate decrease in the size of the labour force?

- A a fall in the average size of families
- B a fall in the birth rate
- ☒ C a reduction in the age of retirement
- D an increase in net immigration

Doesn't have immediate effect on labour force

→ Early retirement, immediate effect

↳ More people working in, labour force ↑

26 The table shows some economic indicators.

Which increase in the first indicator is most likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
☒ D	productivity	living standards

A) Budget surplus ↑, that means tax ↑, disposable income ↓, saving ↓

B) C ↑, AD ↑, unemployment ↓

C) Inflation ↑, X (uncompetitive), trade surplus ↓

27 The price of a currency in a fixed exchange rate system is reduced.

What is this called?

- A appreciation
- B depreciation
- ☒ C devaluation
- D revaluation

devaluation

D) Productivity ↑
higher output
efficiency ↑
choices ↑

Higher standard of living.

↳ when price of a currency in a fixed exchange rate system is increased.

More imports

- 28 A government removed the quota on goods imported into the country.

What is the most likely result of this?

- A a decrease in demand for domestic production, $M(TE) \uparrow$, Demand $\downarrow$ (Domestic)
 B a decrease in domestic unemployment, Increase in unemployment as $D \downarrow$ (Domestic)
 C a decrease in exports, NO information
 D a decrease in the balance of trade deficit, Increase in deficit as more imports will be taking place

- 29 What is most likely to result from a reduction in the value of a country's currency if there are no other changes in the economy?

- A A trade in goods surplus will fall. rise, Depreciation, $X \text{ prices} \downarrow$, $M \text{ prices} \uparrow$, Trade surplus
 B Export prices will rise. Depreciation, $X \text{ prices} \downarrow$
 C Import prices will rise. Depreciation, $M \text{ prices} \uparrow$
 D The inflation rate will fall. Depreciation, Trade surplus, $AD \uparrow$, Price $\uparrow$

- 30 The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

	benefit	cost
A	improved balance of trade ✓	training by the MNCs
B	higher employment ✓	loss of a finite resource
C	increased profits for the MNCs	efficient production
D	more sustainable development	economic growth

→ All three are benefits not cost

MNC's set up, Demand for labours, employment $\uparrow$

Benefits MNC's not low income countries

Mining doesn't result in sustainable development

→ Yes, non-renewable resource

Question	Answer	Marks
1	D	1
2	B	1
3	C	1
4	A	1
5	D	1
6	B	1
7	D	1
8	C	1
9	D	1
10	A	1
11	B	1
12	A	1
13	D	1
14	C	1
15	A	1
16	C	1
17	C	1
18	D	1
19	A	1
20	B	1
21	B	1
22	D	1
23	C	1
24	C	1
25	C	1
26	D	1
27	C	1
28	A	1

Question	Answer	Marks
29	C	1
30	B	1